

Practice Questions

Q1. Q1. Classify each of the following as a **Current Asset**, **Non-current Asset**, **Current Liability**, **Non-current Liability**, **Revenue**, **Expense** or **Equity/Capital**:

Components	Classification
Cash	CA
Accounts Receivable	CA
Inventory	CA
Equipment	NCA
Long-term debt	NCL
Accounts payable	CL
Buildings (<i>net</i>)	NCA
Notes payable (due in 6 months)	CL
Patents	NCA

Q2. ABC Company has the following data:

Cash	\$12,000
Inventory	\$5,000
Accounts Payable	\$7,000
Buildings	\$25,000
Equipment	\$10,000
Common Stock	\$15,000
Retained Earnings	\$10,000
Long-term Debt	\$20,000

Prepare a classified balance sheet using the information provided.

ABC Company			
Balance Sheet			
Assets		Liabilities & Owner's Equity	
Cash	\$12,000	Accounts Payable	\$7,000
Inventory	\$5,000	Current Liability	\$7,000
Total Current Asset	\$17,000	Long Term Debt	\$20,000
Equipment	\$10,000	Non-Current Liability	\$20,000
Buildings	\$25,000	Common Stock	\$15,000
Total Non-Current Asset	\$35,000	Retained Earnings	\$10,000
		Owner's Equity	\$25,000
Total Assets	\$52,000	Total Liability & Capital	\$52,000

Q3. XYZ Corporation has the following financial information as of December 31, 2024:

Cash	\$15,000
Accounts Receivable	\$8,000
Inventory	\$5,000
Equipment	\$20,000
Accounts Payable	\$7,000
Notes Payable (due in 1 year)	\$5,000
Long-term Debt	\$10,000
Common Stock	\$8,000
Retained Earnings	\$18,000

Prepare a balance sheet for XYZ Corporation.

XYZ Company
Balance Sheet

Assets		Liabilities & Owner's Equity	
Cash	\$15,000	Accounts Payable	\$7,000
Accounts Receivable	\$8,000	Notes Payable (due in 1 year)	\$5,000
Inventory	\$5,000	Current Liability	\$12,000
Total Current Asset	\$28,000	Long-term Debt	\$10,000
Equipment	\$20,000	Non-Current Liability	\$10,000
Total Non-Current Asset	\$20,000	Common Stock	\$8,000
		Retained Earnings	\$18,000
		Owner's Equity	\$26,000
Total Assets	\$48,000	Total Liability & Capital	\$48,000

Q4. Cecil Jameson, Attorney-at-Law, is a proprietorship owned and operated by Cecil Jameson. On July 1, 2016, Cecil Jameson, Attorney-at-Law, has the following **assets and liabilities**: cash, \$1,000; accounts receivable, \$3,200; supplies, \$850; land, \$10,000; accounts payable, \$1,530. Office space and office equipment are currently being rented, pending the construction of an office complex on land purchased last year. Business transactions during July are summarized as follows:

- a) Received cash from clients for services, \$3,928.
- b) Paid creditors on account, \$1,055.
- c) Received cash from Cecil Jameson as an additional investment, \$3,700.
- d) Paid office rent for the month, \$1,200.
- e) Charged clients for legal services on account, \$2,025.
- f) Purchased supplies on account, \$245.
- g) Received cash from clients on account, \$3,000.
- h) Received invoice for License expense from government for July (to be paid on August 10), \$1,635.
- i) Paid the following: wages expense, \$850; answering service expense, \$250; utilities expense, \$325; and miscellaneous expense, \$75.
- j) Determined that the cost of supplies on hand was \$980; therefore, the cost of supplies used during the month was \$115.
- k) Jameson withdrew \$1,000 in cash from the business for personal use.

Prepare income statement and Balance sheet.

1. Determine the amount of owner's equity (Cecil Jameson's capital) as of July 1, 2016.

2. State the assets, liabilities, and owner's equity as of July 1 in equation form similar to that shown in this chapter. In tabular form below the equation, indicate the increases and decreases resulting from each transaction and the new balances after each transaction.
3. Prepare an income statement for July, a statement of owner's equity for July, and a balance sheet as of July 31, 2016.

Initial Balance As of July 01, 2016					
Assets		Liabilities		Owner's Equity	
Cash	1000	Accounts payable	1530	Owner's Equity	13520
Account's Receivable	3200				
Land	10000				
supplies	850				
Total Assets	15050	Total Liability	1530	Total Equity	13520
July 2016					
Cash	3928			Service Fee	3928
Cash	(1055)	Accounts payable	(1055)		
Cash	3700			Owner's investment	3700
Cash	(1200)			Rent Expense	(1200)
Accounts receivable	2025			Service income	2025
supplies	245	Accounts payable	245		
Cash	3000				
Accounts receivable	(3000)				
		Accounts payable	1635	License expense	(1635)
Cash	(1500)			Expense (wage, service, utilities, others)	(1500)
Supplies	(115)			Supplies expense	(115)
Cash	(1000)			Cash withdrawal	(1000)
	20078				20078

total
asset-
total
liability

Cecil Jameson	
Income Statement	
As of July 31, 2016	
Service Fee	3928
Service income	2025
Gross Income	5953
Less:	
Rent Expense	(1200)
License expense	(1635)
Expense (wage, service, utilities, others)	(1500)
Supplies expense	(115)
Total Expenses	(4450)
Net income	1503

income

expenses

For self-practice

Q5. Construct an income statement and a balance sheet from the scrambled entries for Paradise Pond Company from the years 2012 and 2013 shown in the table below.

Paradise Pond Company	2012	2013
Accounts receivable	\$ 675	\$ 638
Less: Accumulated depreciation	1500	1800
Accounts payable	300	225
Bonds	900	900
Cash	300	225
Common shares	450	450
Contributed capital	900	900
Cost of goods sold	1750	2125
Depreciation expense	550	500
Income taxes	200	300
Interest expense	125	150
Inventories	825	938
Net plant and equipment	1800	2100
Net revenue from sales	1250	1500
Operating expenses	075	100
Plant and equipment	3300	3900
Profit after taxes	300	450
Profit before taxes	500	750
Retained earnings	1050	1200
Sales	3000	3625
Total assets	3600	3900
Total current assets	1800	1800
Total current liabilities	300	450
Total expenses	750	750
Total liabilities and owners' equity	3600	3900
Total long-term assets	1800	2100
Total long-term liabilities	900	900
Total owners' equity	2400	2550
Working capital loan	000	225